

# FRONT SHEET

## Individual Coursework

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# Table of Contents

|                                                                                              |   |
|----------------------------------------------------------------------------------------------|---|
| Table of Contents .....                                                                      | 2 |
| 1. Introduction .....                                                                        | 3 |
| 1.1 Business Ethics: Definition and Importance .....                                         | 3 |
| 1.2 Nestlé and the Unethical Practice Under Review .....                                     | 3 |
| 2. Analysis 1: A Philosophical Ethical Evaluation of Nestlé's Cocoa Sourcing Practices ..... | 3 |
| 2.1 Utilitarianism.....                                                                      | 4 |
| 2.2 Deontology (Kantian Ethics).....                                                         | 4 |
| 2.3 Virtue Ethics .....                                                                      | 5 |
| 3. Analysis 2: Ethical Decision-Making at Nestlé .....                                       | 5 |
| 4. Analysis 3: Leadership Response and Effectiveness .....                                   | 6 |
| 5. Recommendations .....                                                                     | 8 |
| 6. Conclusion .....                                                                          | 8 |
| 7. References.....                                                                           | 9 |

# 1. Introduction

## 1.1 Business Ethics: Definition and Importance

Business ethics (Crane and Matten, 2019) is defined as a set of rules that governs the behavior of businesses when they are interacting or operating with other businesses, organizations and communities to include rules and values that influence their conduct and decision making process that have positive or negative impact on the environment or communities. It is based on normative philosophical theory to evaluate corporations' actions as right or wrong rather than just legal or illegal (Chryssides and Kaler, 1993). The importance of ethics in business lies in the fact that acting unethically can just result in a loss of trust from stakeholders, negative brand images, regulatory sanctions and litigation, and cause deeper reputational and/or financial damages, while on the other hand having an ethical mindset within governance and strategy ensures sustainability and long-term competitive advantage for the business (Crane and Matten, 2019).

## 1.2 Nestlé and the Unethical Practice Under Review

Nestlé S.A. is a leading multinational conglomerate in the food and beverage sector and is headquartered in Switzerland at Vevey, Switzerland and has its products available in majority of countries in the world including bottles of water, infant nutrition products, coffee products among others provided in confectionery (Nestlé, 2023). This report will highlight the fact that Nestlé's extended use of cocoa from West African supply chains, mostly Côte d'Ivoire, has been independently, and repeatedly, documented as being associated with child labour including hazardous child labour, and in some specific incidents, children trafficking (Whoriskey and Siegel, 2019). The Worst Forms of Child Labour (WFCL) in cocoa was introduced in 2001 as part of the 'Harkin-Engel Protocol', and signed up to around 20 companies, including Nestlé, but 20 years later, investigative reports, including a US Department of Labor-funded survey (NORC, 2020), revealed this was not fundamentally changed. 20 years after their introduction in cocoa, there is little to suggest the Worst Forms of Child Labour (WFCL) has had a meaningful impact with approximately 20 companies having signed up to it, including Nestlé; as showed in various investigative reports such as a survey commissioned by the US Department of Labor (NORC survey, 2020), and in a case that eventually led to a year-long process of litigation, and ended in decision Nestlé USA, Inc. v. Doe (2021). The second analysis was conducted from a "philosophical ethical" perspective to assess Nestlé's cocoa sourcing policies. Second analysis – Philosophical ethical evaluation of Nestlé's cocoa sourcing practices.

# 2. Analysis 1: A Philosophical Ethical Evaluation of Nestlé's Cocoa Sourcing Practices

## 2.1 Utilitarianism

The utilitarian principle was associated with Bentham and Mill and stated that an action is morally correct if it is “the greatest good for the greatest number of people who are affected by it” and the argument was consequence (benefit and harm) based. It took two decades to see an increase of 14% in the number of food systems (agricultural households) engaged in cocoa production in Côte d'Ivoire (Whoriskey and Siegel, 2019) and of 14% in cocoa working children (NORC cited in Reuters, 2020). Most importantly, this has not optimized the overall welfare of the company: The disutility (loss of education, physical risk and psychological harm) was suffered by hundreds of millions of children, not spread across the world's total number of consumers.

## 2.2 Deontology (Kantian Ethics)

According to the Kantian deontology, actions themselves are moral regardless of their consequences and they must be in line with the principles of universalizable obligations on moral behaviour; further, individuals must be treated as an end in themselves, and not as a tool to further another person's end / goal (Crane and Matten, 2019). If applied to Nestlé, the Supreme Court case of Nestlé USA, Inc. v. Doe (2021) makes clear that Nestlé gave cocoa farms in Côte d'Ivoire 'training, fertilizer, tools, and cash' - without owning or directly operating them - in exchange for exclusive cocoa-buying rights. The universalisation test – the maxim that a buyer may be able to profit from his supply chain but leave to obscure under monitored third parties the responsibility to ensure compliance with 'labour standards' – simply cannot be imposed as a universal principle - because if everyone did it, then systemic child labour would continue, not die out (in contradiction with the duty of the UN Convention on the Rights of the Child, 1989, and ILO Convention 182 on the Worst Forms of Child Labour, 1999).

## 2.3 Virtue Ethics

Virtue ethics, based on Aristotle, considers moral behavior from a broader perspective over the long-term of the agent's character and his or her practical wisdom (phronesis) displayed over time—either honoring the virtues of honesty, integrity, justice and care or their associated vices (Crane and Matten, 2019). For Nestlé, the failure to meet deadlines for the removal of child labour in 2005, 2008 and 2010, followed by an audit arising out of the Notables Committee in 2012 that revealed that the conditions for child labour continued to be broken and a subsequent study by NORC which revealed the prevalence of child labour in the company was higher at the end of 2020, does not seem to be a sign of diligence, but complacency, unless the company acted immediately to eradicate the situation. If a company is virtuous, it should be the proactive bringing of diverse stakeholders to it, not external scandal, that prompts a repondering of proactive measures will be taken internally to rectify the perceived problem. Overall, there are good intentions in this revised Income Accelerator Programme” (IAP) announced by Nestlé for a total at maximum of €1.3 billion (CHF 1.3 billion) until 2030, which may be read in a benevolent manner as an example of the practical wisdom that has been taken into account when considering the causes of the problems that already exist, and emerge. Importantly, however, its gradual rollout - 10,000 families as opposed to a potential supply chain of hundreds of thousands - and

the fact that it was announced shortly after the Supreme Court decision and the subsequent negative media attention to the company, give reason to doubt that it is a long-term manifestation of company character rather than a measure of company risk.

### **3. Analysis 2: Ethical Decision-Making at Nestlé**

Focusing on a shift away from what option will cause the least legal/commercial problems, ethical decision-making models usually go through the steps of recognising a moral issue, identifying stakeholders affected and determining the ethical principles to review the options against, and then selecting and discussing a course of action. When this framework was looked at in the context of Nestlé's practices with cocoa, it was found that ethical issues were inserted into the primary agenda of business and legal risk management, but not valued as an end in their own right. The shareholders and the company itself are at risk from brand damage and litigation, chocolate manufacturers are at risk of taking damage to their brand and reputation as is their competitors, NGO's, trade unions and regulators are at risk because they have external monitoring of the company and could lose their job if there were no monitoring. Evidence shared regarding decision making is less than proactive, with less than ten per cent of children's cocoa farms being reported by the third party certifiers, and few Nestlé's major actions, like a response to an audit carried out by the Fair Labour Association (FLA) in 2013 (Nestlé has not yet responded to this request), having been completed after a complaint or concern. Less than ten per cent of children's cocoa farms have been reported by third party certifiers, and Nestlé's major actions, including a response to the audit by the Fair Labour Association (FLA) in 2013, and the Nestlé Income Accelerator in 2022, following adverse legal proceedings or independent internal investigation following complaints or concerns, were not completed. It was representative of the legal-liability conundrum-ethical obligation continuum as first described by the CSR pyramid of 1991 by Carroll. It exemplified Carroll's first CSR pyramid model of 1991, in which legal responsibility came at the bottom, ethical and philanthropic at the top. Although the Alien Tort Statute provides for jurisdiction based on "economic support" provided to farms employing child labour, this fact is never proven in substantive trials in court, the Supreme Court in *Nestlé USA, Inc. v. Doe* found that a company had met its minimal legal duties under the Alien Tort Statute, but failed to provide any such justification for exercising jurisdiction. (Human Rights Law Centre, 2021). It should be identified that companies' ethical obligation to vulnerable rights-holders in the supply chain is not required if they have decided the legal obligation is not theirs.

### **4. Analysis 3: Leadership Response and Effectiveness**

The CEO Mark Schneider has publicly committed to its action on child labour risk in the 2022 Income Accelerator Programme, which aims to deliver a 'successfully defined and tangible contribution to an increasing number of cocoa farming families' and to contribute to the closure of the living income gap over time (as cited in Food Ingredients First, 2022).

*"Our goal is to have an additional tangible, positive impact on a growing number of cocoa-farming families, especially in areas where poverty is widespread and resources are scarce"*  
(Mark Schneider, Nestlé CEO, 2022)

The speech is a reflection of characteristics of transformational leadership in particular, because it calls into action for a common long term vision in order to eliminate the root cause of child labour (rural poverty). In reality, however, the key mechanism of operation – giving direct cash incentives to farming households for actions taken – is closer to a change in sourcing governance, the level of supervision and the rule-of-play for the farming facilitator than to a more fundamental shift in sourcing governance, supervision or the form of accountability. The programmes resulting in Nestlé's 20-year leadership responses are briefly summarised below in Table 1.

| Year               | Commitment / Event                                                     | Outcome                                                                                     |
|--------------------|------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|
| 2001               | Harkin-Engel Protocol signed by Nestlé and other major chocolate firms | Deadline to eliminate worst forms of child labour set for 2005                              |
| 2005 / 2008 / 2010 | Successive industry deadlines to end child labour                      | All three deadlines missed                                                                  |
| 2012               | Fair Labor Association audit of Nestlé's Ivorian supply chain          | Violations confirmed; three-phase action plan agreed (2012, 2013, 2016 targets)             |
| 2020               | US Department of Labor / NORC survey published                         | Prevalence of child labour among cocoa households risen from 31% (2008/09) to 45% (2018/19) |
| 2021               | Nestlé USA, Inc. v. Doe decided by US Supreme Court                    | Claim dismissed on jurisdictional grounds; substantive allegations not adjudicated          |
| 2022               | Income Accelerator Programme launched                                  | CHF 1.3bn (~US\$1.4bn) pledged by 2030, piloted with 10,000 Ivorian families                |
| 2023               | Corporate Accountability Lab report                                    | Child labour still found on farms supplying Nestlé and peers                                |

In fact, there appears to be a regular pattern: substantive commitments are made very close to events taking place outside of the organisation – they don't follow actions and are not ahead of events like the 2012 Fair Labor Association audit, the 2019-2020 Washington Post and NORC findings, or the 2021 Supreme Court litigation. Underlying prevalence data is available within and driving the design of responses and is presented in Table 2.

| Survey Period | Children in Child Labour (Côte d'Ivoire & Ghana) | % of Agricultural Households Affected |
|---------------|--------------------------------------------------|---------------------------------------|
| 2008/09       | ≈1.82 million                                    | 31%                                   |
| 2013/14       | ≈2.26 million                                    | n/a (increase reported)               |
| 2018/19       | ≈1.56 million                                    | 45%                                   |

Despite increases in financial commitments, leadership actions for most of the time have not been effective at the scale needed as evidenced by the increase from 31 per cent of cocoa farming households affected by child labour in 2008/09 to 45 per cent in 2018/19 (NORC, cited in Reuters, 2020), despite the industry's promise to reduce child labour by 70 per cent by 2020. The results of the 2022 pilot have only reached a small segment of several hundred thousand cocoa growers in Cote d'Ivoire, meaning both a gradual approach and incremental change, instead of the more "transformationist" leadership theory would suggest one of a leader truly transforming the goal of an organisation. Governance is also low: There is lack of transparency on the compensation of the executives and the child labour reduction KPIs at Nestlé, making the accountability of executives for child labour reduction less transparent.

## 5. Recommendations

The following recommendations, directly linked to the ethical gaps identified above, would help Nestlé become a more ethical company:

- Increased independent and public reporting of a traceability system that goes further than the reported cocoa supply under ten per cent of the farms, as part of Nestlé's food chain supply – extend beyond under-ten-per-cent samples to the entire cocoa supply base, and have independent, under-blind-eye audits to complete the gap in the ethical decision-making and monitoring of the food chain that was identified as Analysis 2.
- The current accelerated payment of the farmer level living income (FAMLI) should be taken up where high levels of child labour have been observed, such as making this goal more urgent and speeding up the implementation beyond the pilot, and making the living income payment and premiums for the cocoa farming families more direct and transparent, and accessible (as emphasised in Analysis 1, utilitarian and deontological argumentation).
- Nestlé should establish a board-level human rights committee and link measurable, independently verified reduction in the prevalence of child labour to a proportion of its executive remuneration as part of its governance process as highlighted in Analysis 3, according to Schneider's transactional programme.

## 6. Conclusion

The report took a deeper look into Nestlé's ongoing investments and involvement in managing cocoa supply chains in West Africa in relation to the use of child labour in the region between 2000 and 2023. Using a utilitarian, deontological and virtue-based approach, it concluded that Nestlé's sourcing model has not optimised the welfare of stakeholders on multiple occasions, it has treated vulnerable children as means, and that the nature of the company has been more reactive in terms of complying with what the law requires than in the complying with what is good. The second road taken by decision making and analysis of leadership roles – legal

compliance and financial investment – has registered improved performance over substantive ethical action. It stresses the need to have leadership that make the respect of human rights a central responsibility or commitment instead of a shameful liability to be catered for if it is found.

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